

2024 MBA - 001

ABV- Indian Institute of Information technology and Management Gwalior
Subject- International Business
MBA 1st Semester

MM-50

Time-3 Hrs

Answer any five questions from the following: 5X10 = 50 Marks

1. Differentiate between international business, international trade and international marketing. Enumerate the dominant reasons for companies to undertake international business.
2. Explain in detail various types of trading mode, passive participation mode and active participation mode of international business.
3. Distinguish between an international corporation, a multinational corporation, a transnational corporation and a global corporation in terms of their major characteristics.
4. Explain the internalization process by using two different approaches. Explain four basic strategies of international business and compare them with four strategy orientations.
5. Write detail notes on the followings
 - (a) Opportunity risk matrix for market entry selection
 - (b) Strategic international environment
6. Explain the details function of International Monetary Fund?
7. Discuss the export and import policy of Indian government?
8. Short notes
 - i. The Determination of Foreign Exchange Rate
 - ii. Contribution of Nobel prize in economics in 2024



ABV- Indian Institute of Information Technology and Management, Gwalior
(An Institute of National Importance, Ministry of Education, GOI)
Minor Examination, Odd Semester (2025-2026) – MBA

Course Title: International Business (MS608)

Time: 120 Minutes

Total Marks: 30

Attempt all questions. Calculators are allowed, except financial and programmable ones.

1. Write detailed answers on **any three** of the following. Support your discussion with suitable examples. [15]
 - a) **Balance of Payments Accounts** – Current Account, Capital Account, Statistical Discrepancy, Official Reserves.
 - b) **Purchasing Power Parity (PPP)** – Concept, types, significance, limitations.
 - c) **Absolute and Comparative Advantage** – Classical theories of trade and relevance in international business.
 - d) **Trump's Tariffs on India** – Impact on India-US trade relations and diplomacy.
2. Consider the following data on foreign and domestic interest rates, and spot and forward exchange rates: [6]
 - Spot exchange rate: $S (\$/\text{£}) = 1.25 \text{ } \$/\text{£}$
 - 360-day forward rate: $F_{360} (\$/\text{£}) = 1.20 \text{ } \$/\text{£}$
 - U.S. discount rate ($i_{\$}$): 7.10%
 - British discount rate ($i_{\text{£}}$): 11.56%

Assume borrowings of either \$1,000 or £800, as appropriate, to illustrate your answer. Further, demonstrate the outcomes under the following scenarios:

 - a) When $F_{360} (\$/\text{£}) = 1.30 \text{ } \$/\text{£}$
 - b) When $F_{360} (\$/\text{£}) = 1.10 \text{ } \$/\text{£}$
3. The following are three quotes in three forex markets: [3]

Mumbai: 1 USD = 48.3011 INR
London: 1 GBP = 77.1125 INR
New York: 1 GBP = 1.6231 USD

Are any arbitrage gains possible? Assume there are no transaction costs, and the arbitrageur has 1,000,000 USD.
4. Rates of the rupee and euro in the international market are US \$0.0209 and US \$1.0768, respectively. [2]

What direct quote of US dollar and euro will be provided by a forex dealer in India?
5. Spot rate of the euro in New York is US \$1.0542 and of the rupee is US \$0.0205. [4]
 - (a) What will the price of the euro be in India?
 - (b) If the euro is quoted in India as Rs 51.7000/€, what would you do to profit from the situation?

$1 \$ = 80 \text{ Rs}$
 $80 \text{ Rs} = 0.025$

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Note: All questions are compulsory.

1. Fill in the blanks from the table given below.

[10 x 0.5 = 5]

Orbi-Tech Ltd., a mid-sized Indian electronics firm, had long operated comfortably within domestic boundaries. But slowing demand at home and rising (1) _____ pressures pushed the leadership team to rethink their growth path. During a strategy retreat, the CEO reminded the team that true international business begins only when operations transcend (2) _____, exposing the firm to unfamiliar risks and opportunities. The company began analysing why global expansion was necessary. One emerging reason was the possibility of earning (3) _____, which would strengthen its financial position. However, the CFO warned that entering volatile markets would also expose Orbi-Tech to unpredictable (4) _____, something far more unstable compared to operating in a national business environment. To start small, Orbi-Tech signed a (5) _____ agreement with a South-East Asian manufacturer to transfer certain production know-how while avoiding heavy R&D expenditure. Encouraged by early success, the firm later collaborated with a local partner through a (6) _____, allowing both parties to share risks, contribute resources and build a new product tailored to regional preferences. As the company matured, it realised that competing globally required adopting a more integrated strategic posture. Senior managers studied how leading (7) _____ structure their cross-border operations to sense opportunities, coordinate activities and leverage core competences worldwide.

Finally, when selecting its next overseas market, Orbi-Tech used a structured evaluation method that compared opportunity with (8) _____ while considering entry barriers, market size and cost factors. After detailed analysis, the company concluded that the most suitable mode for its high-technology product where protecting intellectual property was critical was to establish a (9) _____, giving Orbi-Tech maximum operational control. By the end of the year, Orbi-Tech completed its transition from a domestically focused firm to a company steadily climbing the (10) _____ path of internationalization.

Franchising	MNEs	Competitive	Strategic alliance ⁶	Licensing ⁵
FDI ³	Risk assessment ⁴	Exchange-rate volatility	Internationalization process	Wholly owned subsidiary
Market risk ⁸	National frontiers ²	Foreign exchange	Ownership control ¹⁰	Joint venture

2. Distinguish between the following with an example:
- Polycentric Orientation and Geocentric Orientation
 - Transnational Strategy and Multidomestic Strategy
 - Strategic Alliance and Joint Venture
 - Merger and Acquisition

[2 x 4 = 8]

3. Explain the four basic international business strategies: International, Multidomestic, Global, and Transnational, using the Integration-Responsiveness (IR) framework. Discuss how differences in cost pressures and local responsiveness requirements shape each strategy. [5]

4. A multinational firm is evaluating two potential foreign markets, Country A and Country B, using the Country/Market Selection Matrix. Each environmental factor is assigned a weight based on its strategic importance. [1 x 3 = 3]

Rating Category	Score
Excellent	+ 2
Good	+ 1
Average	0
Bad	- 1
Poor	- 2

Weighted Factors & Ratings

Factor	Weight	Country A	Country B
Growth of GDP/GNP	0.25	+ 1	+ 2
Market Size	0.2	+ 1	0
Price Level (Inflation)	0.15	+ 2	- 1
Foreign Exchange Position	0.15	0	+ 1
Currency Stability	0.15	+ 2	- 2
Remittance & Repatriation Rules	0.1	+ 1	+ 1

- Calculate the Weighted Score for each factor for both countries.
- Compute the Total Weighted Rating for Country A and Country B.
- Recommend the more attractive market and justify your answer.

0.60
0.25
0.85
0.3
0.85
1.15

5. Write short notes on the following:

[3 + 3 = 6]

- Internationalisation Process and its major stages
- Opportunities-Risk Matrix used in Market Selection Process

6. For years, there has been an intense debate in India about the implications of rising protectionism in the United States, particularly the renewed push for tariff hikes on imported goods. India, which has steadily expanded its export base over the past two decades, is significantly exposed to the U.S. market. Estimates suggest that more than 17% of India's merchandise exports valued at over USD 80 billion are directed to the U.S., spanning sectors such as pharmaceuticals, textiles, engineering goods, electronics, and automotive components. Any disruption in this flow directly affects industrial output, employment, and foreign exchange earnings. Proponents of deeper engagement with the U.S. argue that India must adapt quickly to the changing structure of global trade. They believe that geopolitical alignment between the two countries offers opportunities for India to secure favourable terms in select sectors. Additionally, American companies shifting their supply chains away from China under the "risk-mitigation" strategy could bring substantial manufacturing investments to India. Groups supporting tariff negotiation stress that India should focus on long-term competitiveness through improved logistics, reduced compliance costs, and production-linked incentives.

0.85
x 2
0.50

On the other hand, economists and industry bodies have raised concerns about the uneven burden of U.S. tariff actions. Sectors such as textiles, leather, speciality chemicals, and smartphone components, which operate on thin margins, are particularly vulnerable. Exporters note that even a modest tariff increase forces buyers to renegotiate contracts, reduce order quantities, or shift sourcing to countries with preferential market access. The pharmaceuticals industry, although

structurally strong, faces risks due to stricter regulatory scrutiny and the possibility of higher duties on certain generic categories. Small and medium enterprises, which account for a large share of India's export employment, warn that prolonged tariff pressure could erode their global competitiveness. By 2025, the effects of U.S. tariff reviews were visible. Several Indian exporters reported rising logistics costs, delayed shipments, and lower profit margins. Industry associations highlighted that tariff uncertainty was discouraging new investment in export-oriented clusters. Meanwhile, the government intensified diplomatic talks with the U.S. while simultaneously promoting diversification into Europe, West Asia, and Southeast Asia. Policymakers argued that India must accelerate domestic reforms to strengthen its position in global value chains. Whether the United States will further tighten tariff conditions or pursue sector-specific barriers remains uncertain. What is clear is that India's policymakers, exporters, and industry leaders must navigate a rapidly shifting global trade environment where tariff policy has become a central tool of geopolitical strategy.

Based on the above case study, answer the following questions for the Indian IT (Information Technology) firms operating in the USA.

[2 x 4 = 8]

- a. Critically evaluate how India can redesign its export and industrial policies to remain competitive in a geopolitical trade environment where tariff unpredictability is the norm.
- b. Using a value-chain perspective, analyse how tariff-induced shocks might reconfigure cost structures, supplier relationships, and global positioning of these industries. Provide a sector-wise contrast.
- c. Develop a policy recommendation framework identifying at least four structural reforms India must prioritize, explaining how each reform directly mitigates tariff vulnerability.
- d. Construct three scenarios (Optimistic, Baseline, and Adverse) for India's export economy over the next five years based on differing tariff intensities. For each scenario, outline strategic responses for firms and the government.

Best of Luck